

Effect of School Capital Investments Across the U.S. : A Reassessment ^{*}

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Abstract

We revisit the analysis of Biasi, Lafortune and Schönholzer (2025), *Quarterly Journal of Economics*, Vol. 140, Issue 3, August 2025, (henceforth BLS) who study the effect of school capital investments on student outcomes using a rich dataset of school capital projects across the U.S. from 1995-2010. We replicate their main results and extend their analysis by exploring state-level heterogeneity in the treatment effect estimates. We find that the effect of school capital investments on student outcomes varies significantly across states, suggesting that local factors may play a crucial role in mediating the impact of such investments.

Keywords: School Capital Investments, Student Outcomes, State-Level Heterogeneity

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1 Introduction

Capital investments in schools, such as building new facilities or renovating existing ones, are often justified on the grounds that they can improve student outcomes. However, the empirical evidence on the effectiveness of such investments is mixed. Seminal work by Cellini, Ferreira and Rothstein (2010) does not find any statistically significant evidence that school construction projects lead to improvements in student achievement in California, whereas other studies, such as Neilson and Zimmerman (2014) find positive effects on test scores and home prices. More recently, Biasi, Lafortune and Schönholzer (2025) conduct a comprehensive analysis using a rich dataset of school capital projects across the U.S. from 1995-2010 and find that school capital investments have a positive effect on student outcomes, particularly for low-income students. In this paper, we revisit the analysis of Biasi, Lafortune and Schönholzer (2025) and extend their work by exploring state-level heterogeneity in the treatment effect estimates. We first replicate their main results, comprising of tables and figures in their main text, and then we estimate state-specific treatment effects to understand how the impact of school capital investments varies across different states. Although our results largely corroborate the findings of Biasi, Lafortune and Schönholzer (2025), we highlight gaps in their analysis and suggest avenues for future research.

2 Data

3 Empirical Strategy

4 Results

Data and Code Availability

Supporting Information

References

- Biasi, Barbara, Julien Lafortune, and David Schönholzer.** 2025. “What Works and for Whom? Effectiveness and Efficiency of School Capital Investments Across the U.S.” *The Quarterly Journal of Economics*.
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Appendix